
9.11 SOME USEFUL BOOKS

- Woodford, M. 2003. *Interest and Prices: Foundations of a Theory of Monetary Policy*. Princeton: Princeton University Press.
- Jordi Galí, 2015. “Monetary Policy, Inflation, and the Business Cycle: An Introduction to the New Keynesian Framework and Its Applications Second edition,” Economics Books, Princeton University Press, edition 2, number 10495.

9.12 ANSWERS/HINTS TO CHECK YOUR PROGRESS EXERCISES

Check Your Progress 1

- 1) Interest rates, money supply, economic activity.
- 2) Framework, inflation target, India.

Check Your Progress 2

- 1) Lending, interest rates, reserves.
- 2) Finance, lending, intermediaries.
- 3) Liquidity, pricing, investment.

Check Your Progress 3

- 1) Loan availability, interest rates, borrowing.
- 2) Policy rates, lending standards, credit supply.
- 3) Investment, borrowing costs, tightening.

Check Your Progress 4

- 1) Short-term rates, central bank, policy changes.
- 2) Consumption, investment, interest rates.
- 3) Yield curve, expectations, economic conditions.

Check Your Progress 5

- 1) Asset prices, central bank, policy tools.
- 2) Wealth effects, consumer spending, asset prices.
- 3) Financial stability, risks, asset prices.

Check Your Progress 6

- 1) Central bank, exchange rates, policy influence.
- 2) Depreciation, trade balance, competitiveness.
- 3) Volatility, trade dynamics, external sector.

Check Your Progress 7

- 1) Effectiveness, evaluation, policymakers.
- 2) Constraints, limitations, transmission.
- 3) Coordination, monetary, fiscal, effectiveness.

9.13 TERMINAL QUESTIONS

- 1) How does the Flexible Inflation Targeting framework impact monetary policy in India?
- 2) What role do non-banking financial institutions play in transmitting monetary policy?
- 3) How do central bank actions affect capital markets and the broader economy?
- 4) What is the influence of the credit channel on borrowing costs in the economy?
- 5) How do changes in central bank policy rates affect credit availability?
- 6) What impact does monetary policy tightening have on investment decisions?
- 7) How do central bank actions influence short-term interest rates?
- 8) What are the effects of lowering interest rates on consumption and investment?
- 9) Why is understanding yield curve dynamics important for policymakers?
- 10) How do central bank actions influence asset prices?
- 11) How are the wealth effects associated with rising asset prices?
- 12) Why is coordination between monetary and fiscal authorities crucial for policy effectiveness?